



Table of Contents

A. BACKGROUND	3
B. ALLEGATIONS MADE AGAINST NOTICEES IN THE SHOW CAUSE NOTICE (SCN)	4
B.1. Allegations in the SCN with regard to financial transactions entered into between Noticee nos. 1 and 2 through the Noticee no.3	4
B.2. Allegations in the SCN with respect to the requirement of disclosures by Noticee no.1 and Noticee no.2 with respect to Audit Committee review/approvals for the alleged transactions:.....	9
B.3. Allegations in the SCN with respect to requirements of Board approval/ shareholder approval for the alleged transactions between Noticee nos.1 and 2 :	11
B.4. Specific allegations alleged in the SCN	12
C. HEARING AND SUBMISSIONS OF NOTICEES	16
C.1. Hearing.....	16
C.2. Summary of replies filed by Noticees	17
D. CONSIDERATION OF ISSUES:	32
D.1. Consideration on Preliminary Issues:	32
D.2. Issues for Consideration	35
D.3. Determination of two main issues	35
D.3.1. Issue no 1: Whether the loan transactions between Noticee no 1 and Noticee no. 2 and ALL, through the Noticee no. 3 during the period from F. Yrs 2012-13 to 2020-21 can be classified as related party transactions under the earlier Listing Agreement or subsequent LODR Regulations?	35
D.3.2. Issue no 2: Whether there was a scheme or artifice to conceal related party transaction that otherwise fall under the Listing Agreement/LODR Regulations?	55
D. 3.3 Other violations alleged in the SCN	59
E. Conclusion.....	60
F. Direction	63



A. BACKGROUND

1. Hindenburg Research, a United States based financial research firm and shortseller published a report on January 24, 2023, against Adani Group (hereinafter referred to as “**Hindenburg Report**”/ “**HR**”) which *inter-alia*, alleged that Adicorp Enterprises Private Limited (hereinafter referred to as “**Adicorp**” or “**Noticee no.3**”) was used as a conduit to route funds from various Adani group companies to fund publicly listed Adani Power Limited (hereinafter referred to as “**APL**” or “**Noticee no.2**”) stating that

“Despite Adicorp Enterprises’ modest financial profile, 4 Adani Group companies lent the company a total of INR 6.2 billion (U.S. \$87.4 Million) in 2020. We found no disclosure of these transactions in the financial statements of the Adani Group lenders, several of which are publicly listed. The loans seem financially ill-advised. Given its net profit, it would take Adicorp Enterprises around 900 years to earn enough to pay back the loans even without interest. In 2020, Adicorp Enterprises used its newfound capital to loan INR 6.1 billion (U.S. \$86 million) to Adani Power on an unsecured basis. The loan to Adani Power represented about 98% of the funds it received from the 4 other Adani entities. In short, it looks like Adicorp has simply been used to route funds from various Adani Group companies to publicly listed Adani Power”.

2. In response to the aforesaid allegations, the Adani Group provided its clarification to stock exchanges namely, National Stock Exchange of India Ltd. and BSE Ltd. vide corporate announcement dated January 29, 2023 and also to Securities and Exchange Board of India (hereinafter referred to as “**SEBI**”), as under:

“Adicorp is not a related party, and transactions with Adicorp are not ‘related party transactions’ under laws of Indian or accounting standards and these have been undertaken in compliance with applicable law.”



26. Vide the SCN, *Noticee nos. 1 and 2* were called upon to show cause as to why suitable directions as deemed fit should not be issued under sub-section (1) and (4) of section 11 and sub-section (1) of section 11B of the SEBI Act, 1992, read with sub-section (1) of section 12A of the Securities Contracts (Regulation) Act, 1956 (hereinafter referred to as “**SCR Act**”). Further, *Noticee nos. 1 and 2* were also called upon to show cause as to why suitable monetary penalty be not imposed under sub-section 4A of section 11, sub-section (2) of section 11B, read with sub-section (b) of section 15A, 15HA, 15HB of the SEBI Act 1992, and sub-section (2) of section, 12A read with sub-section (b) of section 23A, 23H of the SCR Act, 1956, r/w Rule 5 of the SEBI (Procedure for Holding Inquiry and Imposing Penalties) Rules, 1995, and Rule 5 of Securities Contracts (Regulations) (Procedure for Holding Inquiry and Imposing Penalties) Rules, 2005, for the violations alleged herein above.

27. The *Noticee no. 3* was called upon to show cause as to why suitable monetary penalty under sub-section (4A) of section 11, sub-section (2) of section 11B, read with Section 15HA of the SEBI Act, 1992 r/w Rule 5 of the SEBI (Procedure for Holding Inquiry and Imposing Penalties) Rules, 1995, be not imposed for the violations alleged herein above.

28. *Noticee nos. 4 and 5* were called upon to show cause as to why suitable directions as deemed fit, should not be issued under sub-sections (1) and (4) of section 11 and sub-section (1) of section 11B, of the SEBI Act, 1992 and sub-section (1) of section 12A of the SCR Act, 1956. Further, *Noticee nos. 4 and 5* were also called upon to show cause as to why suitable monetary penalty be not imposed under sub-section (4A) of section 11, sub-section (2) of section 11B, read with sub-section (b) of section 15A, 15HA and 15HB of the SEBI Act, 1992 and sub-section (2) of section 12A read with 23H and 24 of the SCR Act, 1956, r/w Rule 5 of the SEBI (Procedure for Holding Inquiry and Imposing Penalties) Rules, 1995, and Rule 5 of the Securities Contracts (Regulations) (Procedure



for Holding Inquiry and Imposing Penalties) Rules, 2005, for the violations alleged herein above.

29. Based on the findings of investigation, the SCN dated January 15, 2024 was issued to all *Noticees*. As per the request of *Noticees* inspection of documents was provided on February 16, 2024 to the *Noticee no. 3* and on February 22, 2024 and March 7, 2024 to *Noticees nos. 1, 2, 4 and 5*. The *Noticee no. 3* vide letter dated March 2, 2024 filed its reply to the SCN. On the request of *Noticees nos. 1, 2, 4 and 5* extension of time was granted for filing of replies to the SCN. *Noticees nos. 1, 2, 4 and 5* filed their replies to the SCN vide letter dated April 22, 2024.

C. HEARING AND SUBMISSIONS OF NOTICEES

C.1. Hearing

30. Pursuant to submission of replies to the SCN, an opportunity of personal hearing was granted to *Noticees* on June 6, 2024. However, all *Noticees* requested for an adjournment of hearing and the same was acceded to. Hearing was then fixed for September 11, 2024, which was attended by legal representatives of *Noticees*. The matter was partly heard and the next hearing was scheduled for September 19, 2024. The legal representatives of *Noticees* continued with their submissions on the scheduled date. The matter was partly heard and the next date of hearing was scheduled for October 1, 2024. However, due to certain administrative exigencies, the hearing was re-scheduled for October 3, 2024. The hearing in the matter was concluded on the said date. During the hearing, the legal representatives of *Noticees* made submissions in line with the replies filed by them. *Noticees* filed their post hearing submissions within two weeks' of the timeline granted to them.

31. It was noted that *Noticees* had earlier filed settlement applications on various dates in March 2024. It was noted that in terms of sub-regulation (1) of regulation 8 of the SEBI (Settlement Proceedings) Regulations, 2018, the filing of an



application for settlement of any specified proceedings did not affect the continuance of the proceedings save the passing of the final order which was required to be kept in abeyance till the disposal of settlement application. Accordingly, hearings were completed but issuance of the final order was kept in abeyance till the disposal of settlement applications. Further, *Noticees* subsequently withdrew their settlement applications on various dates in June 2025 and accordingly the case was then considered for issuance of the final order.

C.2. Summary of replies filed by *Noticees*

Reply to SCN was filed by *Noticee nos. 1, 2, 4 and 5* vide letter dated April 22, 2024 and by the *Noticee no.3* vide letter dated March 2, 2024. Post hearing submissions were filed by *Noticee nos. 1, 2, 4 and 5* vide letter dated October 22, 2024 and by the *Noticee no.3* vide letter dated October 18, 2024. A summary of submissions made by *Noticees* is as under:

32. Main points from submissions of *Noticee nos.1, 2, 4 and 5* are summarised below:

- 32.1. The SCN is erroneously based on the report of Hindenburg which has no evidentiary value and no reliance could be placed thereon. In support of their plea, *Noticees* have made reference to Judgment of Hon'ble Supreme Court passed in the matter of ***Vishal Tiwari vs Union of India, 2024 SCC Online SC15***, wherein the Hon'ble Court, inter alia, directed that "*SEBI and investigative agencies of the Union Government shall probe into whether the loss suffered by Indian investors due to conduct of Hindenburg Research and any other entities in taking short positions involved any infraction of the law and if so, suitable action shall be taken*". SEBI is a party in the said matter and therefore ought not to have issued the SCN based on the report of Hindenburg.



32.2. The SCN is vague and does not provide adequate details for an appropriate response from *Noticees*. The SCN is required to contain the specific direction and the exact nature of the measures proposed to be adopted. SCN has not clearly set out specific charges and the basis of allegations of the provisions of the SEBI Act and the PFUTP Regulations. The SCN is only based on suspicion and suspicion cannot be placed as proof or evidence. In support of this plea reliance has been placed on the following judgments of the Hon'ble Supreme Court: (i) *Gorkha Security Services vs Govt. of NCT of Delhi & Ors.*, (2014) 9SCC 105; (ii) *Royal Twinkle Star Club Pvt. Ltd. vs SEBI* (2016) SCC Online SAT 16; (iii) *Gian Mahtani and Anr vs The State of Maharashtra and Anr.*(1971)(2) SCC 611, and order of the Hon'ble Securities Appellate Tribunal (hereinafter referred to as "**Hon'ble SAT**") in the matter of *Swaranganga Trading Pvt. Ltd. vs Adjudicating Officer, SEBI* (Appeal no.74 of 2009).

32.3. The allegations in the SCN are belated and suffer from inordinate delay. The transactions pertain to the period between 2012-13 to 2020-21. The SCN dated January 15, 2024 is issued after a decade of the occurrence of the transactions. As per the LODR Regulations, listed entities are required to preserve documents for a period of 8 years. These documents are of prime relevance with respect to allegations in the SCN. Delay in allegations made in the SCN has affected *Noticees'* ability to defend its case. In support of this plea, reference has been made to the following judgements of the Hon'ble SAT: (i) *Parag Sarda vs SEBI* (Appeal no.279 of 2020); (ii) *Alps Motor Finance Ltd. vs SEBI* (Appeal no. 620 of 2023); and judgement of Hon'ble Supreme Court in the matter of *SEBI vs Bhavesh Pabari* (2019) SCC Online SC 294.

32.4. The *Noticee no.1* was called upon to explain actions of Adani Logistics Ltd. (ALL) which is in negation of the principle of distinct corporate identity. ALL is a 100% subsidiary of the *Noticee no.1* and under the prevailing provision of the LODR Regulations, the *Noticee no.1* is required to show consolidated



financials incorporating financial data of ALL. This obligation cannot nullify the distinct identity of ALL as an independent corporate person and was clubbed with the *Noticee no.1*. The *Noticee no.1* cannot be called upon to explain the business decisions of ALL as if it were its own.

32.5. *Noticee nos.1, 2 and 3* are separate, distinct and independent legal entities and no facts have been brought out in the SCN to refute the same. The SCN does not in any manner allege or assert that the *Noticee no.3* is a related party of the *Noticee nos.1 and 2*. The SCN also does not allege that the transactions of the *Noticee no.1* and the *Noticee no.2* with the *Noticee no.3* constitute “a transfer of resources, services or obligations between a listed entity and a related party”. The only acquaintance brought out is the statement recording of Mr. Aadarsh Shah (son of Mr. Utkarsh Shah), Director of the *Noticee no.3*, that he knew the Adani Family for more than 30 years and there is no other connection brought out. Further, Mr. Aadarsh Shah has stated that it is his father who carried out these transactions and that he was not aware of the same. Hence, no reliance can be placed on the statement of Mr. Aadarsh Shah. There are no common directors in *Noticee nos.1 and 2* with the *Noticee no.3*, nor was there any common address or employees. *Noticee nos. 1, 2 and 3* are different entities, distinct from each other and managed by their respective boards. The assumption of any connection or relationship between *Noticee nos.1 and 2* with the *Noticee no.3* is beyond the transactions effected between them, lacks foundation.

32.6. The transactions of the *Noticee no.1* and the *Noticee no.2* with the *Noticee no.3* have been carried out after following proper procedures and approvals and have been duly reported in the various filings made by *Noticee nos. 1 and 2*. There is no legal infirmity in the decision of the *Noticee no.1* to lend funds to the *Noticee no. 3* and for the *Noticee no.2* to borrow funds from the *Noticee no.3*. Therefore, it is not open for SEBI to question the basis and rationale of business decisions of the *Noticee no. 1* and the *Noticee no.2* regarding utilization of resources available with it. *Noticee nos.1 and 2* are



not related to the *Noticee no. 3* and therefore the transactions between them cannot be termed as '*related party transactions*'.

32.7. It is well settled that where a transaction gives rise to rights and obligations it cannot be disregarded as being a scheme/sham.

32.8. It is impermissible for SEBI to invoke '*substance over form*' or '*spirit of the law*' approach in view of the clear language of the provisions and their intended application. As per *Noticee nos.1 and 2*, prior to 2021, the definition of '*related party transactions*' as per para 10.2 of AS-18 and clause (zc) of sub-regulation (1) of regulation 2 of the LODR Regulations, only direct transactions between related parties were covered and not indirect transactions. Clause (zc) of sub-regulation (1) of regulation 2 of the LODR Regulations with respect to transactions between listed company through unrelated parties came into force from April 1, 2023. Hence, transactions of *Noticee no. 1 and 2*, through the *Noticee no.3* does not come under the definition of '*related party transactions*'. The requirement to comply with the LODR Regulations and Listing agreement arises only if the entities fall under the '*related party*' definition as applicable before the amendment, which came into effect from April 1, 2023 and hence not applicable in the instant case.

32.9. *Noticee nos. 1 and 2* are not related parties to the *Noticee no.3* under AS-18 or IndAS-24. Therefore, the transactions of the *Noticee no.1* with the *Noticee no.3*; and the transactions of *Noticee no.2* with the *Noticee no.3* are not related party transactions, even for the purpose of Ind-AS 24. Further, para 11 of IndAS-24 states that '*providers of finance*' are not treated as related parties by virtue of their normal dealings with an entity even though they may affect the freedom of action of any entity or participate in its decision making process. The same principle finds place in AS-18 also. Thus, IndAS-24/AS-18 would exempt *Noticee nos.1 and 2* from treating the *Noticee no.3* as a related party for its transactions. It is SEBI's stated case that, the *Noticee no.3*, which is a non-related entity has been used as a



conduit to circumvent the provisions applicable to related party transactions. The SCN does not allege that the *Noticee no.3* is a related party of the *Noticee no.1* or of the *Noticee no.2* and hence cannot invoke Para-10 of Ind-AS 24 which provides guidance for assessment of related party relationship between two entities. Therefore, Ind-AS 24 does not apply.

32.10. For the investigation period, prior to the amendment, the definition of '*related party transactions*' contained in clause (zc) of sub-regulation (1) of regulation 2 of the LODR Regulations only covered transactions directly between a listed entity and a related party [defined under clause (zb) of sub-regulation (1) of regulation 2 of the LODR Regulations]. The listing agreement defines '*related party transactions*' contained in AS-18, which only covers transactions entered into directly between a listed entity and a related party. So, indirect transactions were not covered under the definition of related party transactions during the investigation period. SEBI's Memorandum on '*Review of regulatory provisions on Related Party Transactions*' which was placed before SEBI Board on September 28, 2021 explains that the amendment to the definition of '*related party transaction*', '*was proposed to be broadened to include transactions which are undertaken, whether directly or indirectly with the intention to benefitting related parties*'. Further, SEBI by way of sixth amendment to the LODR Regulations in 2021 expanded the definition of '*related party transactions*' prospectively. Under this amendment, transaction between listed entity and third parties/unrelated parties are inter alia treated to be the related party transactions if the purpose of such transactions was to benefit a related party of the listed entity. This amendment was prospective in nature and comes into effect from April 1, 2023. If the definition of '*related party transactions*' always included within its purview, indirect transactions undertaken by listed entity through unrelated parties which benefitted its related parties there would have been no need for SEBI to introduce clause (zc) in sub-regulation (1) of regulation 2 of the LODR Regulations, which expressly provide its deferred prospective



operation. Following judgements of Hon'ble Supreme Court has been relied upon by *Noticees* in support of this submission: (i) *Union Bank of India vs Martin Lottery Agencies (2009) 12 SCC 209*; (ii) *SEBI vs Magnum Equity (2015) 16 SCC 721*; (iii) *C Gupta vs Glaxo Smithkline Pharamceuticals Ltd.(2007) 7 SCC 171*.

32.11. *Noticee nos.1 and 2* fully complied with the un-amended provisions of the LODR Regulations applicable during the investigation period and the Listing Agreement. The applicable un-amended clause (zb) of sub-regulation (1) of regulation 2 of the LODR Regulations defines a related party as “a related party” as defined under sub-section 76 of section 2 of the Companies Act, 2013 or under the applicable accounting standards. None of the conditions provided under sub-section (76) of section 2 of the Companies Act, 2013 applies to the relation between *Noticee no.1 or 2* on the one hand and with *the Noticee no. 3* on the other hand. Further, *Noticee nos.1 and 2* on one hand and the *Noticee no.3* on the other hand are not even related parties under AS 18 or Ind-AS 24. Therefore, the transactions between them are not related party transactions even for the purpose of Ind-AS 24. In this regard, *Noticees* have relied on the order dated September 26, 2019 passed by the Hon'ble SAT in the matter of *ITC vs SEBI*, wherein SEBI submitted that the plain language of the definition/provision would show that a specific transaction would amount to related party transaction only when the transaction is between a company and its related party, which was not the case. Hon'ble SAT accepted the submissions made by SEBI and held that since the transactions in question were with third parties, they could not be classified as related party transactions. *Noticees* submitted that, SEBI is bound by the decision of Hon'ble SAT, which held that the language of the provision needs no interpretation, as it is plain. It is imperative that SEBI being a regulatory authority, takes a consistent stand.



- 32.12. SEBI's reliance on Ind-AS 24 and AS-18 to incorporate the substance over form doctrine is misplaced since the accounting standard does not anywhere state that in considering a related party relationship, the '*substance*' of the relationship has to be taken into account and not the legal form. In the absence of any such principle, invocation of substance over form doctrine in respect of transactions prior to the coming into force of the LODR Regulations is erroneous.
- 32.13. SEBI impermissibly seeks to apply amended sub-clause (ii) of clause (zc) of sub-regulation (1) of regulation 2 of the LODR Regulations retrospectively. The SCN invokes the "*substance over form*" doctrine to find that the impugned transactions are "*related party transactions*" since the *Noticee no.3* purportedly transferred funds received by it from the *Noticee no.1* to the *Noticee no. 2*. The SCN erroneously applies the concepts introduced by way of amended Regulation retrospectively to the investigation period, which is not legally permissible. In support of this plea, *Noticees* have relied upon the judgments of the Hon'ble Supreme Court in the matter of: (i) *Sedco Forex International Drill Inc. & Ors. vs Commissioner of Income Tax Dehradun and Another* [(2005) 12 SCC 717]; (ii) *Virtual Soft Systems Ltd. vs Commission of Income Tax, Delhi* [(2007) 9 SCC 665].
- 32.14. SEBI's invocation of the doctrine of "*substance over form*" in the present case is wholly devoid of merit. Reliance has been placed on the judgement of Hon'ble Supreme Court in the matter of (i) *Vodafone International Holdings B.V. vs Union of India* [(2012) 6 SCC 613]; (ii) *Rananjaya Singh vs Baijnath Singh & Ors* [(1954) 3 SCC 314] wherein, it is held that the said concepts of "*substance over form*" or "*spirit of law*" cannot be invoked in opposition of the plain language of the applicable provisions.
- 32.15. The SEBI Act, does not either expressly or by necessary implication, give SEBI the power to make regulations having retrospective effect. In the matter of *SEBI vs Alliance Finstock* [(2015) 16 SCC371] before the Hon'ble



Supreme Court, SEBI itself conceded that the SEBI Act did not empower it to make regulations having retrospective effect. Thus, SEBI cannot apply the definition in the LODR Regulations retrospectively. Having expressly provided that amendments to the LODR Regulations would have prospective operation, it is not open to SEBI to now apply the amended definitions retrospectively. In support of this plea, reliance has been placed on the judgements of the Hon'ble Supreme Court in the matter of: (i) *Keshavji Ravji vs CIT* [(1990) 2 SCC 231]; (ii) *Collector, Vellore District vs K Govindraj* [(2016) 4 SCC 763]; (iii) *Sunil Khaitan vs SEBI* [(2023) 2 SCC 643] ;(iv) *Ritesh Agarwal vs SEBI* (2008) 8 SCC 205; (v) *Federation of Indian Minerals Industries and Ors vs Union of India & Anr*, (2017) 16 SCC 186.

- 32.16. The Hon'ble Supreme Court vide its order dated March 2, 2023, directed SEBI to keep the Expert Committee constituted by it to be apprised about its investigations. The Committee presented its report dated May 6, 2023, based on the detailed factual briefing from SEBI, inputs from market participants and material of record. Based on the findings of the Expert Committee Report with regard to the prospective nature of the 2021 amendments to the LODR Regulations, the petitioners in the matter of *Vishal Tiwari vs Union of India* (2024 SCC Online SC15) in their prayer, sought an order from the Hon'ble Supreme Court directing SEBI to revoke the said amendments contending that the amendments were ineffective to curtail circumvention of the related party disclosure requirements. The Hon'ble Supreme Court accepted the findings of the Expert Committee and came to the conclusion that there was no regulatory failure on the part of SEBI in giving deferred effect to the 2021 amendment. The aforesaid prayer of revoking the 2021 amendment was expressly rejected by the Hon'ble Supreme Court and noted that SEBI had traced the evolution of the regulatory framework and explained the reasons for the changes in its regulations. The Hon'ble Supreme Court found that the procedure followed



- (iii) There are no correct and fair disclosure of such transactions and outstanding balances in the Annual Report of *Noticee nos.1 and 2* for six years i.e., F.Yrs. 2012-13; 2013-14; 2014-15; 2018-19; 2019-20 and 2020-21.
- (iv) *Noticee nos. 4 and 5* have made wrong and false certification of financials of the *Noticee nos.1 and 2* for six years i.e., F.Yrs. 2012-13; 2013-14; 2014-15; 2018-19; 2019-20 and 2020-21.

88. The above allegations against the *Notices nos. 1, 2, 4 and 5* can be established only if it is proved that the transactions between *Noticee nos.1 and 2 and ALL* through *Noticee no.3* qualify to be termed as related party transactions. As discussed in the earlier paragraphs all these other violations are consequential to alleged violation of not classifying impugned transactions as related party transactions. As it has been held that the impugned transactions were not related party transactions, these allegations in the SCN also do not stand. Therefore, allegations against *Noticee no.1, 2, 4 and 5* which have been detailed above cannot be sustained.

E. Conclusion

89. In view of above, following is held:

89.1. There is no violation of Listing Agreement or LODR Regulations as the impugned transactions do not qualify as “*related party transactions*” for the reasons discussed in detail in the earlier part of the order. Same is reproduced in brief as under:

- i) Plain reading of Listing Agreement and LODR Regulations reveals that transactions between a listed company with unrelated party is not covered within the definition of “*related party transactions*” as it existed during the time when impugned transactions took place.
- ii) Even if we adopt “*substance over form*” doctrine, it is held that the definition of “*related party transactions*” as it existed that time never intended to include within its scope transactions between a listed



company and unrelated party. This conclusion is derived based on deferred prospective 2021 amendment to the LODR Regulations which enlarged the scope of the definition of “*related party transaction*” and included for the first time transactions between a listed company/its subsidiary and unrelated party, the purpose and effect of which is to benefit a related party of the listed entity/its subsidiary. This amendment was made effective from a prospective date of April 1, 2022 and also provided a glide path till April 1, 2023. Reliance was also made on Board memorandum related to this amendment which made it clear that the amendment was to broaden the scope of the definition of “*related party transaction*” and include within its scope what was not included before.

- iii) 2021 amendment to the LODR Regulations is substantive amendment and as per accepted legal jurisprudence cannot apply to past transactions.
- iv) Past precedents in SEBI also shows that SEBI has consistently taken the views that before 2021 amendment to the LODR regulations, definition of “*related party transaction*” did not include within its scope the enlarged scope introduced through 2021 amendment to the LODR Regulations.
- v) Expert Committee, appointed by Hon'ble Supreme Court in ***Vishal Tiwari case (supra)***, also held that the deferred prospective amendment of 2021 to the LODR Regulations made it clear that the impugned transactions were not included within the scope of “*related party transaction*” for the period before the amendment. It also found the amendment to be the prerogative of SEBI in its legislative capacity and did not find it to be a case of regulatory failure. It also advocated that once a choice has been made to apply this amendment to prospective transactions, it would be legally impermissible to attack



past transactions. In response, the petitioner in the aforementioned case contended before the Hon'ble Supreme Court that this 2021 amendment to the LODR Regulations must be revoked. Hon'ble Supreme Court rejected the plea of the petitioner and held that procedure followed in arriving at the current shape of regulations is not tainted with any illegality. Hon'ble Supreme Court also held that no valid grounds have been raised to direct SEBI to revoke its amendments to the LODR Regulations which have been tightened by this amendment.

89.2. There is no violation of Section 12A of the SEBI Act and PFUTP Regulations as alleged in the SCN for the reasons discussed in detail in the earlier part of the order and in brief as under:

- i) The main allegation of violation of Section 12A of the SEBI Act and PFUTP Regulations in the SCN flows from non-classification of impugned transactions as "*related party transaction*". Once it is held that there is no violation on that account, the charge under Section 12A of the SEBI Act and PFUTP Regulations do not stand.
- ii) On merit too, it is held that impugned transactions cannot be classified as manipulative or fraudulent transactions or unfair trade practice since:
 - (i) there is no allegation of siphoning off of money or diversion of fund;
 - (ii) all the money has come back with interest before the start of the investigation; and (iii) the impugned transactions have not been held as related party transactions. The SCN does not refer to any evidence (other than related to non-classification of impugned transaction as related party transactions) which can be used for considering the impugned transaction as fraudulent transaction in the absence of violation of the LODR Regulations.



89.3. Once, it is held that there is no violation of above two main issues, it logically leads to conclusion that there is no violation of all other related violations alleged in the SCN and listed at para 24 above.

F. Direction

90. Accordingly, having considered the matter holistically, I find that the allegations made against *Noticees* in the SCN are not established. Considering the above, the question of devolvement of any liability on *Noticees* does not arise and hence the question of determination of quantum of penalty also does not require any deliberation. I, therefore, in exercise of the powers conferred upon me under section 19 of the SEBI Act, 1992 read with sub-sections (1) and (4) of section 11, sub-section (4A) of section 11 and sub-sections (1) and (2) of section 11B of the SEBI Act, 1992 and sub-sections (1) and (2) of section 12A of the SCR Act, 1956 hereby dispose of the instant proceedings against *Noticees* without any direction.

DATE: September 18, 2025

PLACE: MUMBAI

KAMLESH C. VARSHNEY

WHOLE TIME MEMBER

SECURITIES AND EXCHANGE BOARD OF INDIA